

SAVE TAX

Section 1: Core Tax-Saving Investments (The Classic Limits)

These deductions primarily comprise the standard internal limits allowed for individual taxpayers.

1. **Public Provident Fund (PPF):** Invest up to ₹1.5 lakh annually. It offers tax-free interest and completely tax-free maturity amounts.
2. **Equity Linked Savings Schemes (ELSS):** Diversify into stock market-linked mutual funds with a 3-year lock-in period. Eligible for deduction up to ₹1.5 lakh.
3. **Employees' Provident Fund (EPF):** Automatic monthly salary deductions count directly toward your annual limit.
4. **National Savings Certificate (NSC):** Secure a fixed-income, government-backed certificate for a 5-year tenure.
5. **Tax-Saver Fixed Deposits (FD):** Lock in funds with a bank for a mandatory 5-year period to claim exemptions on the principal.
6. **Sukanya Samriddhi Yojana (SSY):** Open an account for a daughter (under 10 years old) to secure high, tax-free returns up to ₹1.5 lakh.
7. **Senior Citizens Savings Scheme (SCSS):** Senior individuals can park funds safely to earn regular income while reducing taxable salary.
8. **Unit Linked Insurance Plans (ULIPs):** Combine market investment with life insurance coverage for exemptions under the annual cap.
9. **National Pension System (NPS - Employee Share):** Save under Section 80CCD(1) through voluntary retirement fund contributions.
10. **Post Office Time Deposits (POTD):** Avail of the 5-year post office term deposit scheme to safely exhaust remaining gaps in your investment limits.



Section 2: Medical & Health Protections

Using health and medical safeguards to legally reduce gross taxable income.

11. **Self/Family Health Insurance:** Deduct up to ₹25,000 paid for health insurance premiums for yourself, your spouse, and your children.
12. **Senior Citizen Parents' Health Insurance:** Claim an additional deduction of up to ₹50,000 for premiums paid on behalf of elderly parents.
13. **Preventive Health Check-ups:** Claim cash or digital payments up to ₹5,000 for regular family health screenings (inclusive within the total medical limit).
14. **Medical Bills for Uninsured Senior Citizens:** If your parents do not have health insurance, direct medical treatment expenses up to ₹50,000 can be claimed.

15. **Severe Disability Care (Self):** Claim fixed deductions if the taxpayer has a certified physical disability.
16. **Disabled Dependent Maintenance:** Deduct flat amounts (₹75,000 or ₹1,25,000 based on severity) for medical treatment and rehabilitation of a disabled relative.
17. **Specified Disease Treatment:** Claim deductions up to ₹40,000 (or ₹1,00,000 for senior citizens) for actual expenses incurred treating designated critical illnesses (like cancer or neurological diseases).



Section 3: Housing & Real Estate Exemptions

Substantial tax breaks are available through managing home property, rent, and real estate loans.

18. **Home Loan Principal Repayment:** The principal portion of your monthly housing EMI is deductible up to ₹1.5 lakh.
19. **Home Loan Interest (Self-Occupied):** Deduct up to ₹2,00,000 annually on the interest component paid for a home you reside in.
20. **Home Loan Interest (Let-Out Property):** If the property is rented out, the entire interest paid can be offset against rental income without a ₹2 lakh cap.
21. **House Rent Allowance (HRA):** Salaried individuals living in rented accommodations can claim partial or full exemptions based on their salary structure.
22. **Rent Paid Without HRA Component:** If your employer does not provide HRA, claim a direct deduction under Section 80GG (capped monthly).
23. **Stamp Duty and Registration Charges:** The fees paid to the government to register a new house property are deductible in the year of purchase.
24. **Joint Home Loans:** Co-borrow with a working spouse or parent to double the potential interest and principal deductions (up to ₹4 lakh interest and ₹3 lakh principal collectively).
25. **Pre-Construction Interest Deduction:** Deduct the interest paid while the home was being built in 5 equal annual installments starting from the year construction finishes.
26. **Capital Gains Reinvestment (Residential Property):** Avoid capital gains tax on selling a house by reinvesting the profit to buy another residential house property.
27. **Capital Gains Reinvestment (Exempt Bonds):** Invest long-term real estate profits into specified institutional infrastructure bonds (like NHAI or REC) to shelter profits from taxation.



Section 4: Corporate Allowances & Salary Structuring

Work with your HR or company structure to optimize your compensation basket legally.

28. **Standard Deduction:** Enjoy a flat, automated reduction on gross salary (applicable to salaried individuals under both regimes).
29. **Leave Travel Allowance (LTA):** Claim exemptions on domestic travel tickets (rail or airfare) for yourself and your immediate family twice in a block of 4 years.

- 30. **Corporate National Pension System (NPS):** Ask your employer to contribute up to 10% of your basic salary directly into your NPS account to get an exclusive tax break.
- 31. **Books and Periodicals Allowance:** Reimburse physical or digital publication costs required to stay updated for your role.
- 32. **Gadget/Equipment Lease Schemes:** Opt for corporate-provided laptops or phones where the asset depreciation reduces your overall taxable pool.
- 33. **Mobile & Broadband Reimbursements:** Claim internet bills tax-free if used for official operations.
- 34. **Fuel and Transport Allowance:** Structure a portion of your income around corporate vehicle expenses or driver salary reimbursements.
- 35. **Food Coupons/M Meal Vouchers:** Non-transferable meal cards or allowances provided for workplace dining are tax-exempt up to designated daily limits.
- 36. **Uniform Allowance:** Deduct expenses specifically allocated for maintaining a mandatory professional dress code or uniform.
- 37. **Professional Tax Exemption:** Deduct the mandatory state professional tax directly from your gross salary before calculating final liabilities.

Section 5: Family, Education, & Loans

Strategic steps involving expenses incurred for the education and advancement of your dependents.

- 34. **Children's Tuition Fees:** Deduct actual tuition fees paid to any school, college, or university within India for up to two children.
- 35. **Higher Education Loan Interest:** Deduct the *entire* interest component paid on loans taken for higher education (self, spouse, or children) for up to 8 years.
- 36. **Gifting Money to Non-Earning Parents:** Gift capital to parents in lower tax brackets; invest it in their name so the interest is taxed at their lower rate.
- 37. **Investing in a Minor Child's Name:** Maximize targeted safe schemes up to minor exemptions per child to split long-term wealth accretion liabilities.
- 38. **Adult Children Investments:** Gift funds to children above 18 to invest; the resulting clubbed income is taxed individually in their respective hands, not yours.
- 39. **Co-Investing with Your Spouse:** Create a joint investment framework or provide interest-bearing loans to your spouse to prevent direct capital clubbing.

Section 6: Capital Gains, Business, & Banking

Tactical financial actions regarding stock markets, savings, and entrepreneurial tools.

- 44. **Tax-Free Savings Account Interest:** Deduct up to ₹10,000 of interest earned entirely on basic savings bank accounts.
- 45. **Senior Citizen Interest Exemption:** Senior individuals can claim up to ₹50,000 exempt from both savings accounts and fixed deposits combined.

46. **Long-Term Capital Gains (LTCG) Harvest:** Take advantage of annual equity exemptions on long-term stock or equity mutual fund gains by strategically booking profits.
47. **Tax-Loss Harvesting:** Offset realized stock market capital gains by intentionally selling underperforming assets at a loss before the fiscal year ends.
48. **Business Expense Reductions:** Freelancers and business owners can deduct office rent, travel, client entertainment, and utility bills directly from gross revenues.
49. **Asset Depreciation:** Deduct the yearly wear-and-tear value of computers, vehicles, and machinery used exclusively for business operations.
50. **Presumptive Taxation Schemes:** Small business owners or professionals can opt to declare profits at a flat, fixed percentage of gross turnover to lower compliance fees and overhead taxes.
51. **Home Office Deductions:** Claim a percentage of internet, electricity, and housing rent if running a registered consulting practice out of your residence.
52. **Digital Transaction Benefits:** Ensure your business payments are digitized to avail of lower profit-computation rates under presumptive tax structures.



Section 7: Social Causes, Rules, & Adjustments

Final structural methods involving charity, political contributions, and portfolio setups.

53. **National Relief Fund Donations:** Give to designated government relief funds to receive a flat 100% tax deduction on the donation value.
54. **Approved NGO/Charity Donations:** Donate to registered 80G non-profit organizations to claim a 50% or 100% deduction on the contributed sum.
55. **Political Party Contributions:** Claim 100% deductions on funds given to registered political parties or electoral trusts (must be paid via non-cash channels).
56. **Scientific Research Donations:** Fund rural development or university-level scientific research bodies to claim structured deductions.
57. **Income Splitting via Family HUF:** Set up a Hindu Undivided Family (HUF) entity to create a separate legal "tax individual," getting an entirely separate set of exemption limits.
58. **Pre-Paid Tax Reconciliation:** Monitor your Form 26AS/AIS regularly to make sure TCS (Tax Collected at Source) on foreign travel or vehicle purchases is accurately credited against your final payable liability.
59. **Timely Return Filing (Avoid Penalties):** File returns before deadlines to ensure your right to carry forward capital market losses to offset against future profits remains active.
60. **Strategic Regime Selection:** Use online tax estimation portals to switch dynamically between the Old and New regimes every year based on whether your total annual deductions outweigh the lower slab rates of the default new system.